

CKD (6407.T)

1Q above expectations; new guidance above market expectations; whether strong revenue growth momentum can be sustained is the key focus; maintaining bullish view

6407.T 12m Price Target: ¥10,000 Price: ¥6,170 Upside: 62.1%

- 1Q operating profits of ¥8.0 bn versus GSe of ¥7.0 bn and LSEG StarMine SmartEstimates of ¥6.4 bn, above expectations. FY3/27 guidance revised up to ¥28.5 bn from ¥24.5 bn versus prior GSe of ¥30.0 bn and market consensus of ¥27.7 bn, also above market expectations. We believe there remains further upside to the new guidance, and raise our operating profit estimate to ¥33.0 bn from ¥30.0 bn.
- On the two key topics we had anticipated, “can they make it?” and “can they raise prices?”, the company announced its plan on conservative assumptions. However, on the former, we expect the new plants, where utilization is improving faster than headcount additions, to contribute earlier than expected. On the latter, momentum for price increases is building across the supply chain as a whole, and we expect this to more than offset the negative factors assumed in the company’s guidance.
- CKD boasts the highest semiconductor profit exposure among FA stocks in our coverage (we estimate over 70% this fiscal year) and is fully benefiting from the structural growth of the industry, yet the stock trades at a FY3/28 P/E of 15.7x, well below the current FA sector average of 25.1x and the machinery sector average of 23.8x. We reiterate our Buy rating.

BUY

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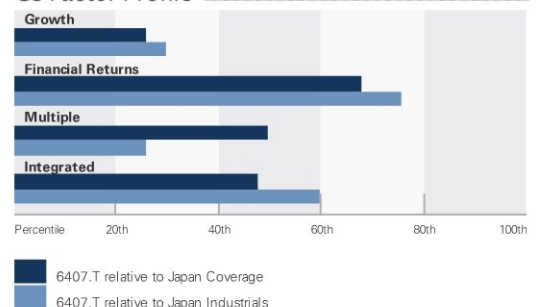
Key Data

Market cap: ¥411.1bn / \$2.6bn
Enterprise value: ¥407.7bn / \$2.6bn
3m ADTV: ¥5.4bn / \$33.6mn
Japan
Japan Industrials
M&A Rank: 3
Leases incl. in net debt & EV?: No

GS Forecast

	3/26	3/27E	3/28E	3/29E
Revenue (¥ bn)	157.9	204.0	232.0	238.0
Op. profit (¥ bn) New	19.6	33.0	37.0	38.0
Op. profit (¥ bn) Old	19.6	30.0	37.0	38.0
Op. profit CoE (¥ bn)	16.6	28.5	—	—
EPS (¥) New	203.2	347.6	404.2	432.5
EPS (¥) Old	203.2	315.6	404.2	432.5
P/E (X)	14.9	17.7	15.3	14.3
P/B (X)	1.3	2.5	2.3	2.2
CROCI (%)	8.0	12.2	12.4	12.1
	6/26	9/26E	12/26E	3/27E
EPS (¥)	86.7	—	—	—

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates.
See disclosures for details.

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BUY

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Rating since Sep 3, 2023

Ratios & Valuation

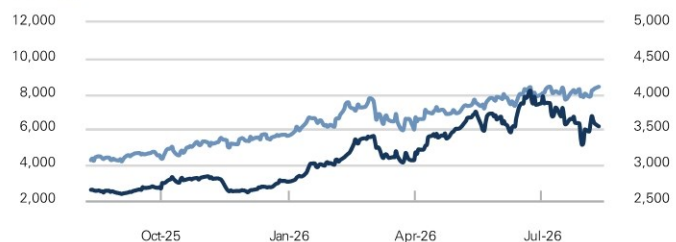
	3/26	3/27E	3/28E	3/29E
P/E (X)	14.9	17.7	15.3	14.3
P/B (X)	1.3	2.5	2.3	2.2
FCF yield (%)	6.0	1.3	2.8	4.7
EV/EBITDAR (X)	7.3	10.0	8.6	7.7
EV/EBITDA (excl. leases) (X)	7.3	10.0	8.6	7.7
CROCI (%)	8.0	12.2	12.4	12.1
ROE (%)	9.4	14.5	15.6	15.5
Net debt/equity (%)	(5.4)	(2.1)	(2.5)	(6.5)
Net debt/equity (excl. leases) (%)	(5.4)	(2.1)	(2.5)	(6.5)
Interest cover (X)	38.9	65.3	73.3	75.2
Days inventory outst, sales	117.7	103.2	105.8	111.1
Receivable days	92.2	79.8	82.9	87.1
Days payable outstanding	50.3	46.7	50.1	53.0
DuPont ROE (%)	8.8	14.1	15.3	15.2
Turnover (X)	0.7	0.9	0.9	0.9
Leverage (X)	1.5	1.5	1.5	1.5
Gross cash invested (ex cash) (¥)	234.2	259.0	281.6	299.3
Average capital employed (¥)	141.1	151.5	160.1	161.7
BVPS (¥)	2,297.3	2,457.6	2,638.7	2,842.0

Growth & Margins (%)

	3/26	3/27E	3/28E	3/29E
Total revenue growth	1.4	29.2	13.7	2.6
EBITDA growth	4.1	51.3	11.7	4.4
EPS growth	0.4	71.1	16.3	7.0
DPS growth	1.3	71.6	16.5	6.8
EBIT margin	12.4	16.2	15.9	16.0
EBITDA margin	16.9	19.8	19.4	19.7
Net income margin	8.6	11.2	11.0	11.0

Price Performance

6407.T (¥)



	3m	6m	12m
Absolute	(7.2)%	37.0%	139.6%
Rel. to the TOPIX	(13.3)%	28.8%	76.8%

Source: FactSet. Price as of 10 Aug 2026 close.

Income Statement (¥ bn)

	3/26	3/27E	3/28E	3/29E
Total revenue	157.9	204.0	232.0	238.0
Cost of goods sold	(111.0)	(139.7)	(159.0)	(161.7)
SG&A	(23.8)	(26.9)	(31.0)	(33.2)
R&D	(3.4)	(4.4)	(5.0)	(5.1)
Other operating inc./exp.)	—	—	—	—
EBITDA	26.6	40.3	45.0	47.0
Depreciation & amortization	(7.0)	(7.3)	(8.0)	(9.0)
EBIT	19.6	33.0	37.0	38.0
Net interest inc./exp.)	(0.1)	(0.1)	(0.1)	(0.1)
Income/(loss) from associates	—	—	—	—
Pre-tax profit	20.5	33.0	37.0	38.0
Provision for taxes	(6.9)	(10.2)	(11.5)	(11.8)
Minority interest	—	—	—	—
Preferred dividends	—	—	—	—
Net inc. (pre-exceptionals)	13.6	22.8	25.5	26.2
Post-tax exceptionals	—	—	—	—
Net inc. (post-exceptionals)	13.6	22.8	25.5	26.2
EPS (basic, pre-exception) (¥)	203.2	347.6	404.2	432.5
EPS (diluted, pre-exception) (¥)	203.2	347.6	404.2	432.5
EPS (basic, post-exception) (¥)	203.2	347.6	404.2	432.5
EPS (diluted, post-exception) (¥)	203.2	347.6	404.2	432.5
DPS (¥)	81.0	139.0	162.0	173.0
Div. payout ratio (%)	39.9	40.0	40.1	40.0

Balance Sheet (¥ bn)

	3/26	3/27E	3/28E	3/29E
Cash & cash equivalents	42.8	38.0	38.7	45.7
Accounts receivable	39.9	49.3	56.1	57.5
Inventory	52.5	62.9	71.5	73.4
Other current assets	9.2	9.2	9.2	9.2
Total current assets	144.4	159.5	175.5	185.9
Net PP&E	59.7	62.4	64.4	70.4
Net intangibles	1.3	1.3	1.3	1.3
Total investments	12.1	12.1	12.1	12.1
Other long-term assets	9.2	4.2	(5.8)	(15.8)
Total assets	226.7	239.4	247.5	253.8
Accounts payable	15.3	20.4	23.2	23.8
Short-term debt	11.7	11.7	11.7	11.7
Short-term lease liabilities	—	—	—	—
Other current liabilities	15.1	15.1	15.1	15.1
Total current liabilities	42.1	47.2	50.0	50.6
Long-term debt	22.9	22.9	22.9	22.9
Long-term lease liabilities	—	—	—	—
Other long-term liabilities	8.2	8.2	8.2	8.2
Total long-term liabilities	31.1	31.1	31.1	31.1
Total liabilities	73.2	78.3	81.1	81.7
Preferred shares	—	—	—	—
Total common equity	153.5	161.2	166.5	172.2
Minority interest	--	--	--	--
Total liabilities & equity	226.7	239.4	247.5	253.8
Net debt, adjusted	(8.2)	(3.4)	(4.1)	(11.1)

Cash Flow (¥ bn)

	3/26	3/27E	3/28E	3/29E
Net income	13.6	22.8	25.5	26.2
D&A add-back	7.0	7.3	8.0	9.0
Minority interest add-back	—	—	—	—
Net (inc)/dec working capital	(3.2)	(14.8)	(12.6)	(2.7)
Other operating cash flow	(2.6)	—	—	—
Cash flow from operations	14.8	15.3	20.9	32.5
Capital expenditures	(2.8)	(10.0)	(10.0)	(15.0)
Acquisitions	—	—	—	—
Divestitures	—	—	—	—
Others	1.6	—	—	—
Cash flow from investing	(1.2)	(10.0)	(10.0)	(15.0)
Repayment of lease liabilities	—	—	—	—
Dividends paid (common & pref)	(4.9)	(9.1)	(10.2)	(10.5)
Inc/(dec) in debt	17.9	—	—	—
Other financing cash flows	(20.0)	(1.0)	0.0	0.0
Cash flow from financing	(7.1)	(10.2)	(10.2)	(10.5)
Total cash flow	6.6	(4.8)	0.7	7.0
Free cash flow	12.0	5.3	10.9	17.5

Source: Company data, Goldman Sachs Research estimates.

Exhibit 1: CKD: Simplified earnings summary vs street estimates

	FY3/27 Q1			FY3/27E					FY3/28E			FY3/29E		
	(GSe old)	(Actual)	(SmartEst)	(CoE old)	(CoE new)	(GSe old)	(GSe new)	(SmartEst)	(GSe old)	(GSe new)	(SmartEst)	(GSe old)	(GSe new)	(SmartEst)
(¥ mn)														
Sales	46,000	49,108	44,400	180,000	193,000	197,000	204,000	187,000	224,000	232,000	209,400	231,000	238,000	226,700
OP	7,000	8,032	6,400	24,500	28,500	30,000	33,000	27,700	37,000	37,000	33,900	38,000	38,000	39,500
OPM	15%	16%	14%	14%	15%	15%	16%	15%	17%	16%	16%	16%	16%	17%
(yoy, %)														
Sales	27%	35%	22%	14%	22%	25%	29%	18%	14%	14%	12%	3%	3%	8%
OP	86%	113%	70%	25%	45%	53%	68%	41%	23%	12%	22%	3%	3%	17%

Source: Company data, LSEG Data & Analytics, Goldman Sachs Global Investment Research

Results surprises

Announced after the August 10 close. 1Q operating profits of ¥8.0 bn significantly exceeded our prior estimate of ¥7.0 bn and LSEG StarMine SmartEstimates of ¥6.4 bn. FY3/27 operating profit guidance was also revised up to ¥28.5 bn from ¥24.5 bn, falling short of our prior bullish estimate of ¥30.0 bn, the upper end of market expectations, but coming in above the market consensus of ¥27.7 bn. Above market expectations, we expect a positive share price reaction.

As there are no signs of weakening in the current demand environment, the new operating profit guidance, which falls short of 1Q actual results multiplied by four, looks conservative. The company noted that many of its plants are approaching full capacity and that it has factored in concerns around procurement bottlenecks and manufacturing headcount constraints, leading it to assume limited top-line growth. There are no actual signs of a slowdown or deceleration. CKD management was asked many questions regarding whether there is any unexpected uncertainty in the market environment, but demand-side concerns appear to be minimal. Whether the strong revenue growth momentum can be sustained has now shifted to the question of volume trends, specifically, whether the company can expand production capacity. We believe CKD can continue to ramp up production from 2Q onward, and are again raising our FY3/27 operating profit estimate above market consensus. Our FY3/28 and beyond operating profit estimates remain unchanged.

Production capacity and price pass-through remain the main focus

We believe the key topics we had anticipated ([link](#)), “can they make it?” and “can they raise prices?”, were also the most prominent focus points at the company’s results briefing held after the close. The company has already arranged plans to increase human resources, primarily manufacturing headcount, and has factored in the associated rise in costs into its forecasts. While there are signs that customers are increasingly placing advance orders and pulling forward projects, the company says no serious delivery delays have occurred and that it is steadily converting inquiries into orders and sales.

The company outlined three points regarding production capacity, explaining them as follows. We also share our views on each point.

- 1. Headcount trends** -> The company is in the process of increasing direct headcount for the time being. However, for a company whose main base is Japan, headcount is likely the most constrained resource outside of semiconductors, where procurement difficulties are the focus. We believe this will not be as straightforward as the company suggests. It will likely be difficult to execute with appropriate increases in SG&A and labor costs, and we expect the emergency internal resource reallocation, as has been the case in the past two quarters, to continue for longer than

anticipated. We assume cost increases will remain limited after 2Q, and that this emergency response situation will continue at least through FY3/27 in our estimates.

- 2. Supply capacity trends** -> Questions were raised regarding whether the company has sufficient capacity to meet current robust demand, or whether it plans to implement additional capacity expansion. The Tohoku second plant, which was a focus during past demand surges, came up in discussion, but the company indicated that it is not yet in a position to rapidly install cleanrooms or bring in equipment. Our impression is that the ramp-up will take time measured in years. While it appears that many plants are running at full capacity on a two-shift basis, China still appears to have spare capacity, and our March visit to CKD's China facilities ([link](#)) also gave us the impression that further production increases are possible. We also got the impression that the Hokuriku and Malaysia plants could ramp up earlier than expected, given customers' strong investment appetite and the improvement in the company's execution capabilities. We expect this to have a larger positive impact on revenue growth than the headcount measures described above.
- 3. Selling price trends** -> At a time when companies across the semiconductor supply chain, from upstream to downstream, are focused on price increases and their penetration, we believe CKD's pricing power is similarly increasing. The company's comments have been measured, but it did acknowledge that momentum for price increases is building across the supply chain as a whole. In our estimates, we expect the increase in manufacturing headcount costs and procurement costs to become more pronounced in FY3/28, while in FY3/27 we expect the positive effects of price increases and other factors to outweigh these headwinds, leading to a meaningful improvement in cost of goods sold.

Our view

We reiterate our Buy rating. The company's comments are broadly conservative overall, reflecting only high-confidence catalysts and discounting the customer inquiries. We believe this is precisely because demand is exceptionally strong. The fact that the fluid control-led top line has grown by 40% from 3Q 3/26, significantly surpassing the previous peak, suggests that the company is underestimating its own substantially improved execution capabilities. We see significant upside to the company's current fiscal year guidance, and expect an upward revision to market consensus estimates in the near term.

Turning to valuation, the stock's multiple of 15.7x on a FY3/28 P/E basis stands out as significantly cheap versus the sector average of 23.8x and the FA average of 25.1x. Given that the majority of company-wide profits (we estimate over 70% this fiscal year) are tied to semiconductors and semiconductor production equipment, a structurally growing area, and that CKD is a global niche leader with high profitability and growth potential, we believe the investment case is compelling. We reiterate our Buy rating.

Exhibit 2: CKD: Earnings summary

CKD (6407.T) (mn JPY, JPY, %)	3/2023 Actual	3/2024 Actual	3/2025 Actual	3/2026 Actual	3/2027 GSe GSE	3/2028 GSe GSE	3/2029 GSe GSE	3/27 CoE	3/26 1Q Actual	3/26 2Q Actual	3/26 3Q Actual	3/26 4Q Actual	3/27 1Q Actual
Financial data													
Revenues	159,457	134,425	155,634	157,886	204,000	232,000	238,000	193,000	36,253	36,395	39,368	45,870	49,108
Operating profits	21,170	13,113	19,018	19,640	33,000	37,000	38,000	28,500	3,772	4,095	4,643	7,130	8,032
Net profits	14,788	8,338	13,520	13,578	22,800	25,500	26,200	19,000	2,477	2,899	3,462	4,740	5,686
EBITDA	27,796	19,928	25,586	26,640	40,300	45,000	47,000	35,500	5,472	5,795	6,343	9,030	9,732
R&D expenses													
(As a % of revenues)	3,808	3,554	3,546	3,416	4,400	5,000	5,100	4,000	800	900	800	916	900
	2.4%	2.6%	2.3%	2.2%	2.2%	2.2%	2.1%	2.1%	2.2%	2.5%	2.0%	2.0%	1.8%
Depreciation													
(As a % of revenues)	6,626	6,815	6,568	7,000	7,300	8,000	9,000	7,000	1,700	1,700	1,700	1,900	1,700
	4.2%	5.1%	4.2%	4.4%	3.6%	3.4%	3.8%	3.6%	4.7%	4.7%	4.3%	4.1%	3.5%
Capital expenditure													
(As a % of revenues)	11,447	22,128	5,023	2,800	10,000	10,000	15,000	8,000	500	800	800	700	1,200
	7.2%	16.5%	3.2%	1.8%	4.9%	4.3%	6.3%	4.1%	1.4%	2.2%	2.0%	1.5%	2.4%
Margins													
Operating profits	13.3%	9.8%	12.2%	12.4%	16.2%	15.9%	16.0%	14.8%	10.4%	11.3%	11.8%	15.5%	16.4%
Net profits	9.3%	6.2%	8.7%	8.6%	11.2%	11.0%	11.0%	9.8%	6.8%	8.0%	8.8%	10.3%	11.6%
EBITDA	17.4%	14.8%	16.4%	16.9%	19.8%	19.4%	19.7%	18.4%	15.1%	15.9%	16.1%	19.7%	19.8%
YoY growth													
Revenues	12.1%	-15.7%	15.8%	1.4%	29.2%	13.7%	2.6%	22.2%	-4.8%	-3.4%	0.1%	13.1%	35.5%
Operating profits	18.4%	-38.1%	45.0%	3.3%	68.0%	12.1%	2.7%	45.1%	-13.8%	-14.7%	0.6%	36.1%	112.9%
Net profits	17.7%	-43.6%	62.1%	0.4%	67.9%	11.8%	2.7%	39.9%	-19.1%	-11.6%	10.4%	17.2%	129.6%
EBITDA	16.8%	-28.3%	28.4%	4.1%	51.3%	11.7%	4.4%	33.3%	-8.1%	-9.6%	2.1%	28.9%	77.9%
OP WALK (GSe)													
Sales	3,900	-7,900	5,600	700	15,300	9,800	2,100	-	-300	-400	0	1,400	3,300
Variable costs	-2,300	-1,600	600	1,000	1,500	-1,100	1,200	-	400	-100	-200	900	500
SGnA	-1,400	600	-900	-900	-5,180	-4,680	-2,290	-	-300	-300	200	-500	-500
FX	3,100	800	600	0	1,762	0	0	-	-400	0	100	300	1,000
Others	-9	43	5	-178	-22	-20	-10	-	7	96	-71	-210	-40
Total	3,291	-8,057	5,905	622	13,360	4,000	1,000		-593	-704	29	1,890	4,260
Sales by segment													
Automatic Machines	15,566	17,674	25,331	19,373	20,000	21,000	21,000	18,000	4,566	4,327	4,650	5,830	3,036
Components	143,900	116,800	130,300	138,500	184,000	211,000	217,000	175,000	31,686	32,068	34,718	40,041	46,072
Pneumatics	68,000	55,000	61,200	62,100	73,000	78,000	91,000	72,000	14,700	14,900	15,400	17,100	18,900
Fluid control (mainly for semis)	75,900	61,800	69,100	76,400	111,000	133,000	126,000	103,000	16,900	17,200	19,400	22,900	27,200
OPM by segment													
Automatic Machines	12.9%	16.8%	21.7%	25.2%	20.0%	20.0%	20.0%	20.0%	21.9%	26.0%	20.8%	30.6%	24.3%
Components	16.5%	12.7%	14.0%	14.3%	18.5%	17.9%	17.9%	17.1%	13.0%	12.8%	13.8%	17.0%	19.0%
Total	13.3%	9.7%	12.2%	12.4%	16.2%	15.9%	16.0%	14.8%	10.4%	11.2%	11.8%	15.5%	16.4%

Source: Company data, Goldman Sachs Global Investment Research

Price Target Risks and Methodology - CKD (6407.T)

Our 12-month target price of ¥10,000 is based on the average of FY3/28E EV/EBITDA, applying the sector-average multiple of 10X and relative premium of 30%.

Key downside risks include weaker-than-expected semiconductor demand, a sharp rise in input costs, faster-than-expected increase in fixed costs.

Disclosure Appendix

Reg AC

We, Yuichiro Isayama, Takeru Adachi, Takato Enoki and Chie Hu, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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GS Factor Profile

The Goldman Sachs Factor Profile provides investment context for a stock by comparing key attributes to the market (i.e. our universe of rated stocks) and its sector peers. The four key attributes depicted are: Growth, Financial Returns, Multiple (e.g. valuation) and Integrated (a composite of Growth, Financial Returns and Multiple). Growth, Financial Returns and Multiple are calculated by using normalized ranks for specific metrics for each stock. The normalized ranks for the metrics are then averaged and converted into percentiles for the relevant attribute. The precise calculation of each metric may vary depending on the fiscal year, industry and region, but the standard approach is as follows:

Growth is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

Financial Returns and Multiple use the Goldman Sachs analyst forecasts at the fiscal year-end at least three quarters in the future. Growth uses inputs for the fiscal year at least seven quarters in the future compared with the year at least three quarters in the future (on a per-share basis for all metrics).

For a more detailed description of how we calculate the GS Factor Profile, please contact your GS representative.

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Across our global coverage, we examine stocks using an M&A framework, considering both qualitative factors and quantitative factors (which may vary across sectors and regions) to incorporate the potential that certain companies could be acquired. We then assign a M&A rank as a means of scoring companies under our rated coverage from 1 to 3, with 1 representing high (30%-50%) probability of the company becoming an acquisition target, 2 representing medium (15%-30%) probability and 3 representing low (0%-15%) probability. For companies ranked 1 or 2, in line with our standard departmental guidelines we incorporate an M&A component into our target price. M&A rank of 3 is considered immaterial and therefore does not factor into our price target, and may or may not be discussed in research.

Quantum

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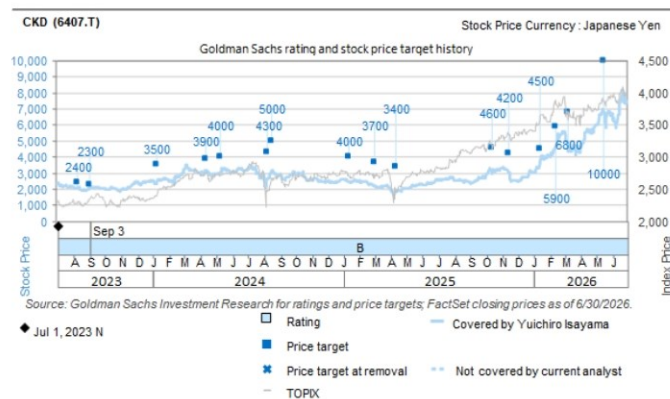
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Goldman Sachs Investment Research global Equity coverage universe

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Target price history table(s)

CKD (6407.T)

Date of report	Target price (¥)	Closing price (¥)
15-May-26	10,000	6,790
09-Mar-26	6,800	4,385
13-Feb-26	5,900	4,715
14-Jan-26	4,500	3,750
14-Nov-25	4,200	3,065
13-Oct-25	4,600	3,215
11-Apr-25	3,400	1,839
03-Mar-25	3,700	2,221
12-Jan-25	4,000	2,506
16-Aug-24	5,000	3,185
09-Aug-24	4,300	2,666
10-May-24	4,000	3,055
12-Apr-24	3,900	3,155
08-Jan-24	3,500	2,340
03-Sep-23	2,300	2,061
10-Aug-23	2,400	-

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